

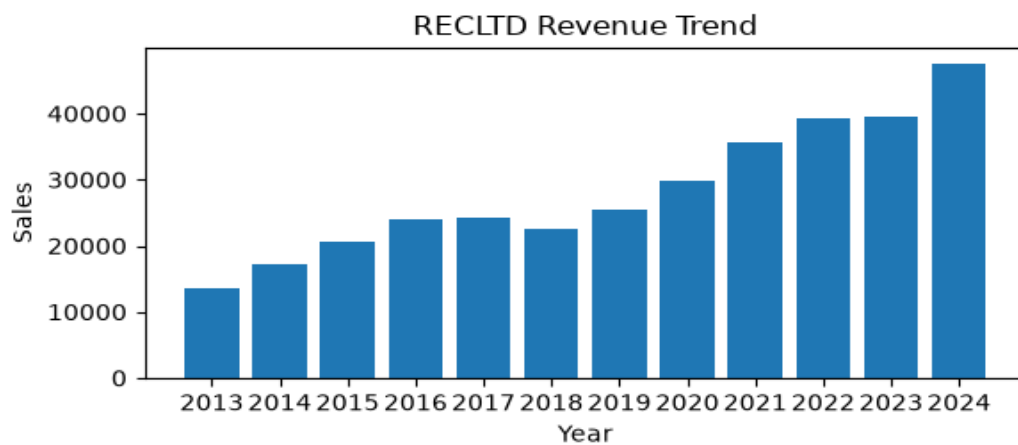
REC Ltd

Ticker: RECLTD
Sector: Financials

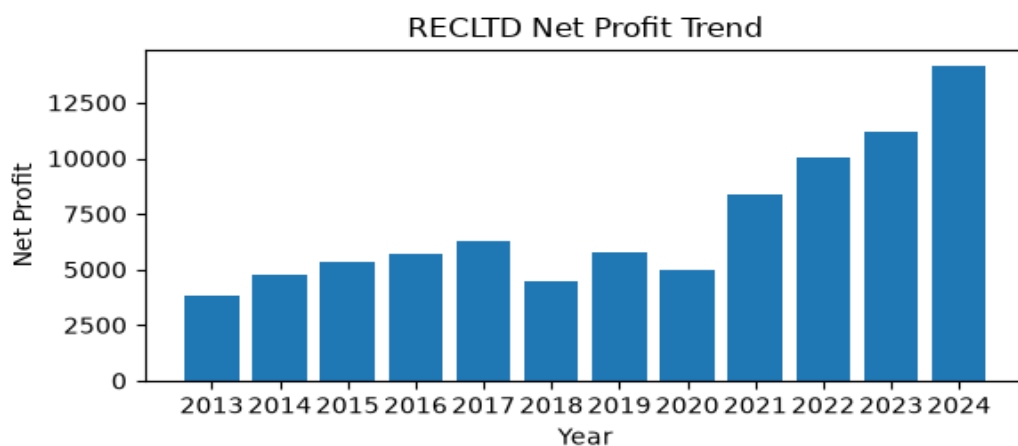
Key Metrics

ROE: 20.40%
ROCE: 9.30%
NPM: 29.77%
Debt/Equity: 6.42
FCF: ■-59,554 Cr
Revenue CAGR: 13.34%

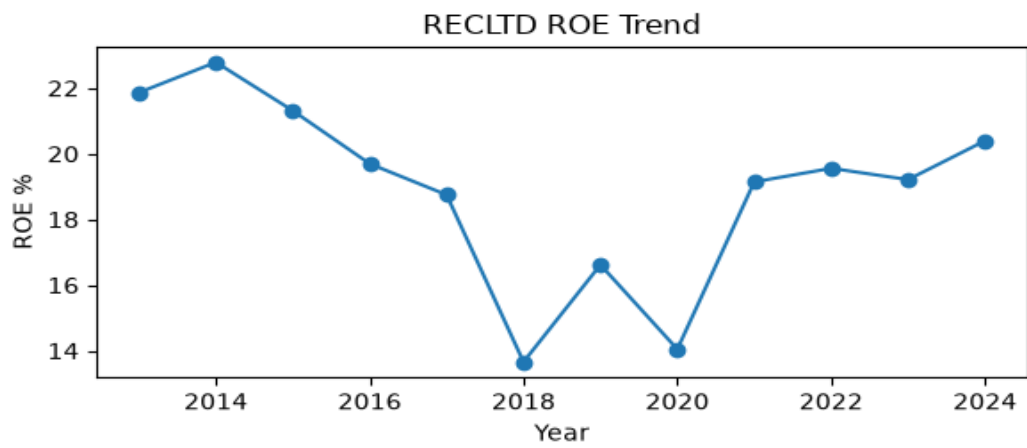
Revenue Trend



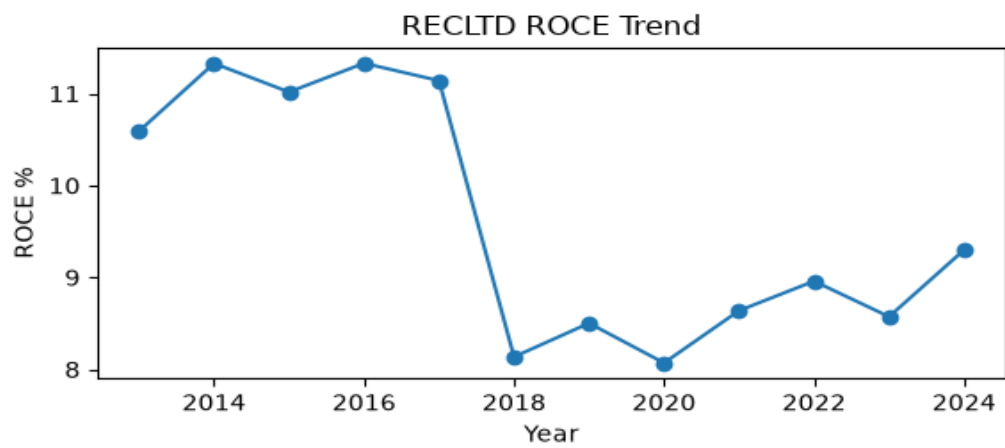
Net Profit Trend



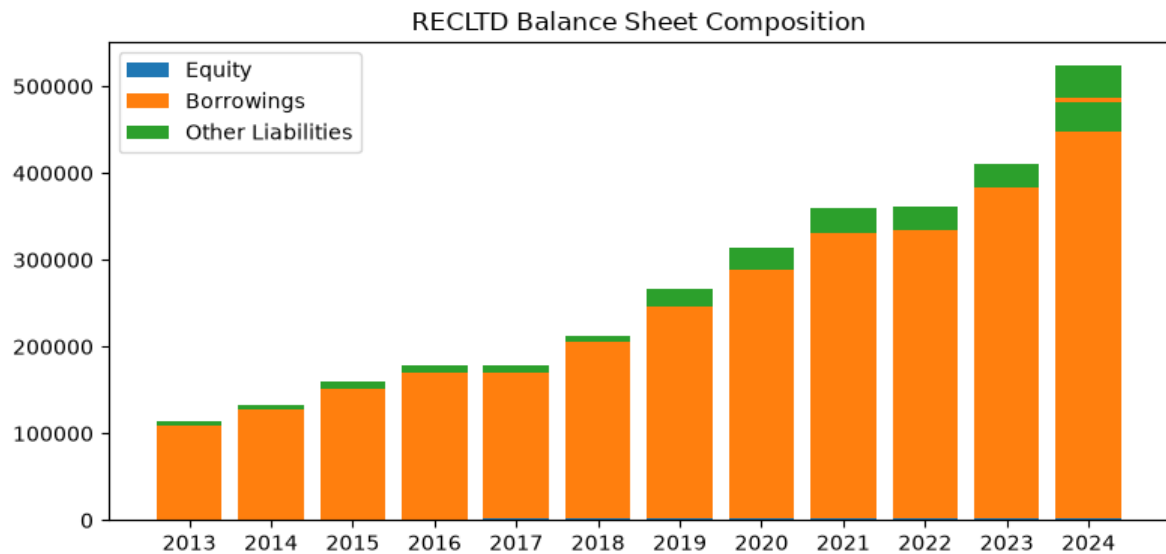
ROE Trend



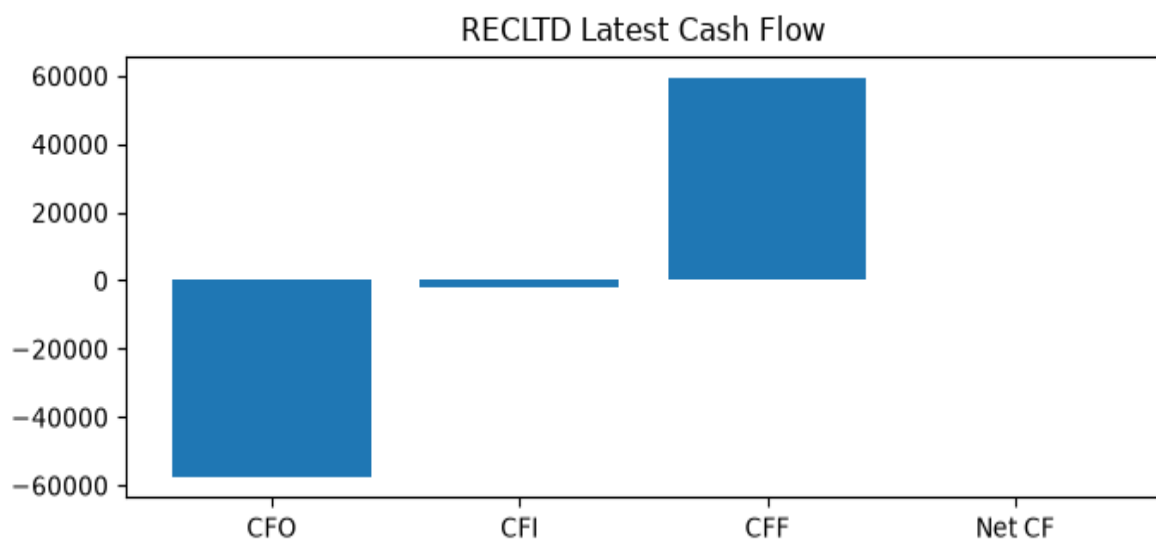
ROCE Trend



Balance Sheet Composition



Cash Flow Summary



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- EPS growing above 15% CAGR indicates strong earnings quality
- Revenue growing slower than profits shows improving operating leverage

Cons

- Debt-to-equity ratio of 6.42 is elevated and warrants monitoring
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ROCE below 10% suggests weak capital efficiency